

complaint

Mr and Mrs L have complained that Millennium Insurance Company Limited refused to pay their home insurance claim.

background

Mr and Mrs L claimed on their insurance after their shower broke. They said they hadn't been able to turn the water off which meant it had flooded the shower cubicle and caused damage to the tiling, the shower base, the floor and the wall the shower was attached to.

The loss adjuster that Millennium arranged to assess the damage didn't think it had been caused by a single escape of water. So, Millennium said the damage wasn't covered by Mr and Mrs L's policy and refused to pay their claim.

I issued a provisional decision on Mr and Mrs L's complaint on 14 June 2017 where I explained what Millennium needed to do to put things right.

I said Mr and Mrs L's policy covers them for escape of water but not for damage that's been caused gradually.

I said the loss adjuster's report said there wasn't any sign of water damage to the ceiling below the shower or the bedroom wall or the adjoining wall, although he thought there'd been a recent repair to the ceiling. The report also said the shower and its timber frame showed signs of wet rot, although the wood was dry to touch when he'd visited. I said the loss adjuster's report concluded that there wasn't any evidence of the damage happening during the term of the policy or as a result of a single escape of water.

I said Mr and Mrs L disagreed with the loss adjuster's findings. And they'd said he hadn't mentioned the damage to the shower valve, tiling, flooring and possible structural damage. I said Mr and Mrs L were unhappy the loss adjuster had said there'd been a recent repair to the ceiling, as the ceiling hadn't been repaired since they'd lived in their house.

I said I hadn't seen anything to show the loss adjuster considered the damage to the shower fitting, as his report focused on an escape of water over time. I was persuaded by Mr and Mrs L's account of what happened and they'd provided me with a receipt to show they'd bought the parts to repair their shower. So, I said it was likely there'd been a single escape of water when Mr and Mrs L's shower broke and as such was an 'insured event'.

I was satisfied that Mr and Mrs L's photographs of the shower cubicle showed the wet rot on the sealant had been wiped off with a cloth. So, I didn't think water had leaked through. I understood why the loss adjuster had concluded there were signs of wet rot in the wood under the shower. But I didn't think that meant the damage to the rest of the shower was caused by a gradual escape of water. And I said Mr and Mrs L weren't claiming for damage to the wood.

I said I was persuaded by Mr and Mrs L's account of what had happened. And I thought it was likely the tiles had been damaged by a single escape of water. So, I said it wasn't reasonable for Millennium to rely on the exclusion for damage caused by any 'gradually operating cause' to turn down Mr and Mrs L's claim.

I said the fair and reasonable outcome was for Millennium to pay Mr and Mrs L's claim subject to the limits and excesses on their policy. I also said it should add interest to that amount at a rate of 8% simple per year.

Mr and Mrs L accepted my decision but Millennium didn't as it still thought the rot on the shower showed the damage had been caused gradually.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Having done so, I'm going to uphold it.

Millennium said photographs clearly show black mould within the shower cubicle which indicates that sealant had failed leading to a water leak over time. But Mr and Mrs L have provided photographs that show the mould was wiped off the sealant without having caused a leak. And I haven't seen anything to show the loss adjuster tried to wipe off the mould to see if it had gone through the sealant and caused a leak.

Millennium also said the photographs of the wood outside the shower cubicle, on the side where the sealant failed, shows wet rot. But I don't think that means there wasn't a single escape of water that caused the damage to the wall, floor and tiles. Mr and Mrs L have also confirmed they aren't claiming for damage to the wood. It's difficult to know when the damage was caused to wood and this may have happened long before the shower broke, especially as the loss adjuster confirmed the wood wasn't damp when he visited.

I'm persuaded by Mr and Mrs L's account of what happened and I've seen a receipt for the repairs to their shower. While I accept the wood might have already been damaged, I think it's likely the wall, floor and tiles were damaged by the shower breaking. So, I think there was a single escape of water which is covered under their policy. And I'm not persuaded that Millennium has shown it can rely on the exclusion for damage caused by gradually operating cause.

So, I think the fair and reasonable outcome is for Millennium to pay Mr and Mrs L's claim subject to the limits and excesses on their policy. If Mr and Mrs L have already paid for any repairs that should have been covered under the claim, Millennium should add interest to that amount at a rate of 8% simple per year from the date of Mr and Mrs L's claim to the date it makes payment.

my final decision

For the reasons set out above, I uphold this complaint and require Millennium Insurance Company Limited to pay Mr and Mrs L's claim subject to the limits and excesses on their policy. If Mr and Mrs L have already paid for any of repairs that should have been covered under this claim, Millennium should add interest to that amount at a rate of 8% simple per year from the date of Mr and Mrs L's claim to the date it makes payment¹.

Millennium should do this within 28 days of us telling it Mr and Mrs L have accepted my decision.

¹ If Millennium considers that it's required by HM Revenue & Customs to take off income tax from that interest, it should tell Mr and Mrs L how much it's taken off. It should also give Mr and Mrs L a certificate showing this if they ask for one, so they can reclaim the tax from HM Revenue & Customs if appropriate.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs L to accept or reject my decision before 11 August 2017.

Sarann Taylor
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